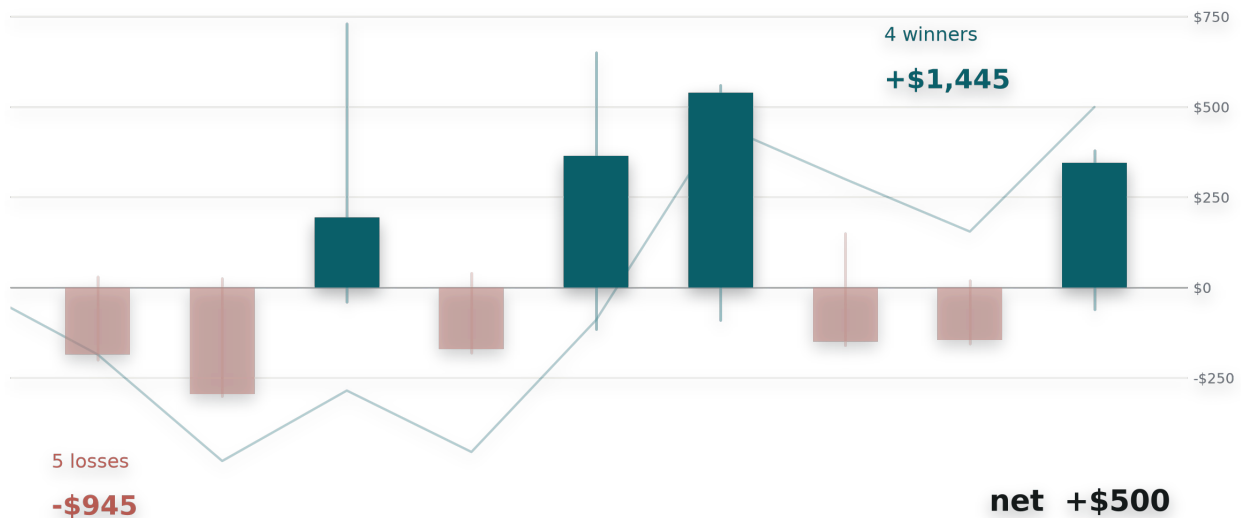




Anatomy of a Losing Start

One live session, nine trades, and the four that went wrong first

SIRES × ETHOS ORDER FLOW



NQ / 23 JULY 2026 / THE LOSSES CAME FIRST

02

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03

The words used here

Everything below is used the same way throughout the session. If a term is new, read this page once and the rest reads normally.

AGGRESSION

Market orders hitting the book. Someone paying up to get filled rather than waiting.

REFILL

Resting size reappearing at a level after being eaten. The wall is being rebuilt rather than pulled.

MINOR HIGH VOLUME NODE

A shelf inside the profile where trade repeatedly happened. Reactions cluster there.

PROTECTED HIGH OR LOW

A swing the market has already defended once. It becomes the reference for a trailing stop.

SPEED OF TAPE

How fast trades are printing. A jump in speed at a level says the level is being contested.

SQUEEZE

Aggression building against a level that will not give. It either breaks, or it fails and unwinds hard.

ABSORPTION

Aggression arriving at a level and the level not moving. Passive size is taking the other side.

DEALING RANGE

The band price is currently rotating inside, bounded by where it last failed at each end.

FAILED AUCTION

Price leaves a range, fails to find acceptance, and comes back inside. The failure is the signal.

LONG GAMMA REGIME

Dealer positioning that dampens moves. Ranges hold and expansion is rare, so scalps fit better.

CUMULATIVE DELTA

The running difference between buying and selling aggression. Divergence from price matters more than the level.

ORIGIN OF THE MOVE

The exact point where control changed hands. It is the reference the rest of the move is measured from.

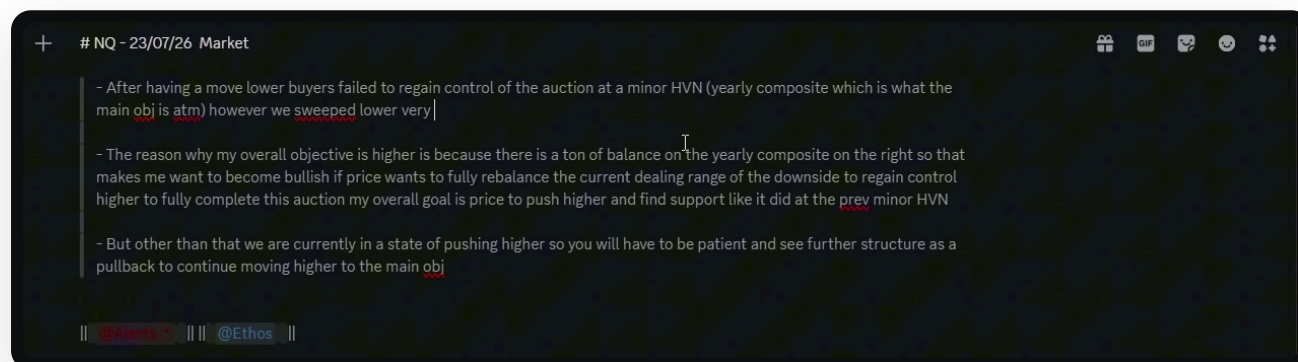


04 The thesis comes first

A plan that says where price is going is a prediction. Predictions are what make you force a trade at 11am when the market disagrees with you.

Before the session there is a written thesis. What it does not contain is a direction. The first paragraph only describes what price has already done, what it is doing now, and why.

That sounds like a small distinction. It is the whole thing. If the thesis says **up**, then every level that fails becomes an argument to try again. If the thesis says **here are the areas where reactions are likely**, then a level failing is just information.



The thesis for 23 July, written before the open. Note that it describes a state and an objective, and it names what would have to happen for the objective to be reached. It does not predict.

You will never have a bias in your thesis. You just want areas of reactions. You want support here, you want resistance here, and you play based off of that.

FROM THE SESSION

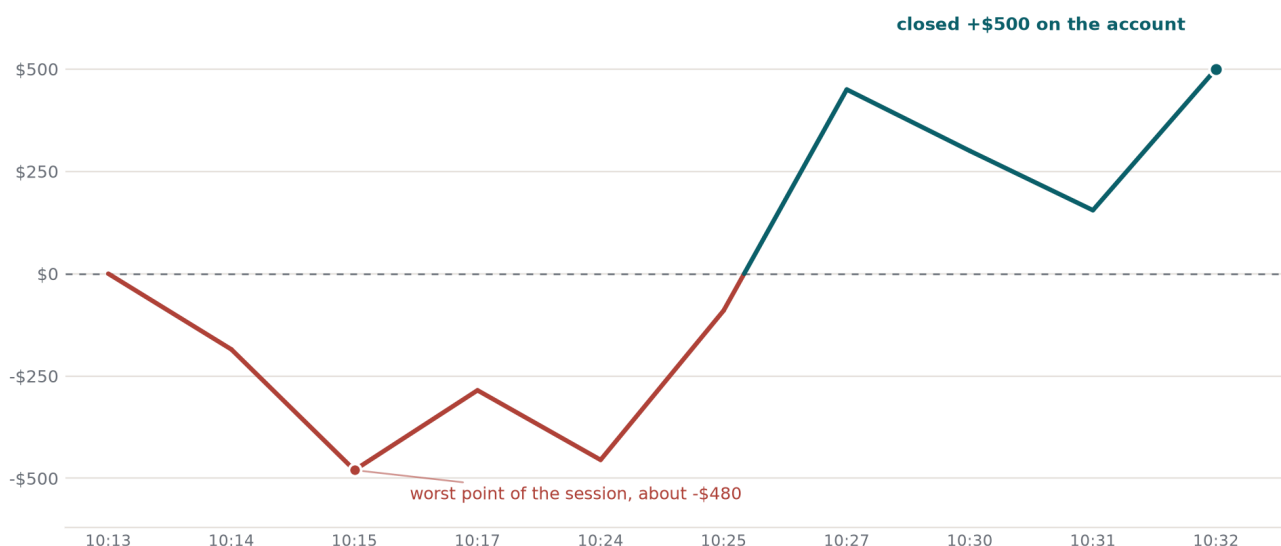
The honest part of that thesis is the last line of it. The overall structure was still lower, so the bullish objective could easily fail. That gets written down too, before there is any money at risk.



05 The shape of the session

Nine trades. Four winners, five losers. The account finished the session up about \$500, and the same model was running across six accounts.

None of that is the interesting part. This is:



The account through the session. The first four trades put it about \$480 underwater before a single winner landed. Anyone watching the first twenty minutes saw only losses.

TRADES

9

WIN RATE

44%

WORST POINT

-\$480

CLOSE

+\$500

A 44% win rate is not a typo and it is not a bad session. It is what the model looks like when it is working correctly. The losers are supposed to be frequent. They are supposed to be small.

The reason to lead with the curve rather than the total is that the total hides the part that actually decides whether someone can run this. Four losses in a row is not a rare event here. It is roughly what a 44% win rate produces on a regular basis, and it will happen again in the first twenty minutes of some other session.

Everything in the rest of this document is about what happens during that stretch, because that is the only part where there is a decision to get wrong.



06 Four trades in, and down

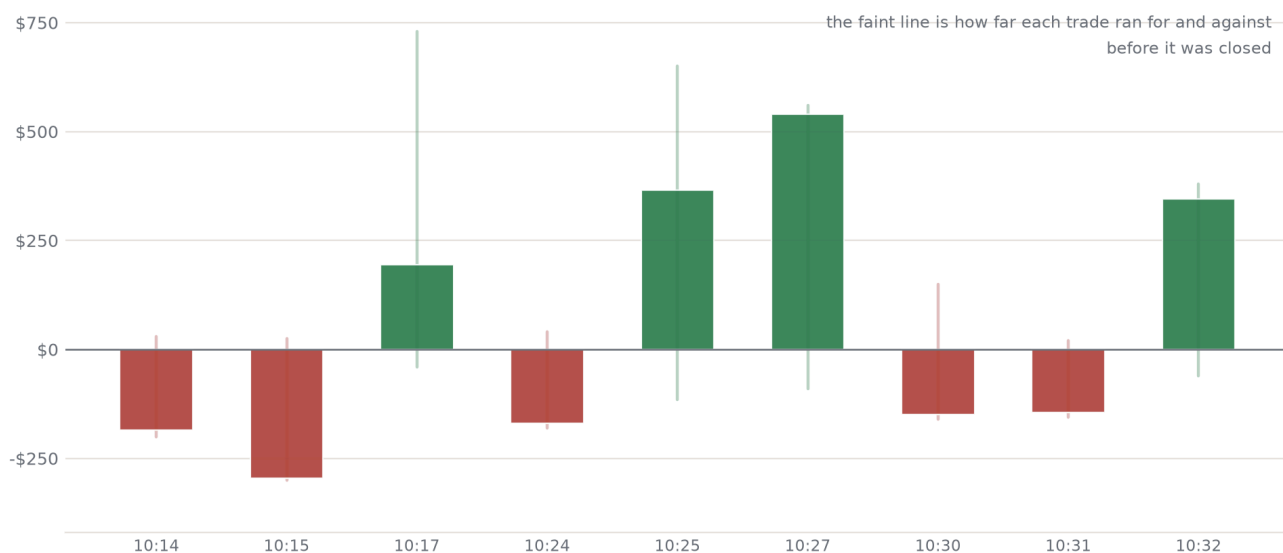
The idea was right. The first four expressions of it were wrong.

The read going into the session was that buyers would defend a shelf where they had held before. Price went to that shelf. Buyers showed up. The entry went in, and the stop went just below where they were holding.

Then it got spiked out. So it went back on, and got spiked out again.

I want to see buyers hold. We do have buyers holding. I stop there. I got stopped very fast. I re-enter here, I am in again. Okay, I got stopped twice now.

FROM THE SESSION



Every trade in the session. The faint line on each is how far it ran for and against before it closed. The first four bars are the ones that hurt, and none of them is large.

Two things are worth noticing before the next page. The losers are shallow, because the stop sat just past the level rather than somewhere arbitrary. And the third bar closed positive while its faint line shows it ran a long way further than it was held for.



07 The only reason to re-enter

Getting stopped is not a reason to get back in. It is not a reason to stay out either.

Most re-entry damage comes from re-entering where you were stopped, immediately, because the loss is still fresh. That is a different trade to the one that was planned, taken at a worse location, for emotional reasons.

The rule used in this session is narrow enough to say in one sentence.

Let us see if we come back down. That is the only time I look for a re-entry.

FROM THE SESSION

Price has to come back to the level. Not near it, and not on a different level that looks similar. If it does not return, there is no trade, and the loss just stands.



The zone being watched, with the tape and cumulative delta underneath. The re-entry is only live while price is back inside the band where buyers previously held.

This is also why the two stops in a row did not turn into four. The level was not offering anything, so there was nothing to take, and the next trade waited until price came back.

Thirty-five ticks against one eighty-eight

This is where a 44% win rate stops being a problem. The screenshot below is from the session, and the platform is doing the arithmetic in the corner of each box.



A long mapped out live. The stop is 35 ticks, which is \$175. The target is 188 ticks, which is \$940. The platform prints the ratio itself: 5.37 to 1.

The stop is not tight because tight stops are good. It is 35 ticks because that is where the idea is wrong. Below the buyers who were holding, the reason for being long has gone, and there is nothing left to wait for.

The target is not far away because far targets are good either. It is the next place on a higher timeframe where price has unfinished business.

My winners are always much larger than my losses, because I cut them as fast as I can.

FROM THE SESSION

Run those numbers against the session. Five losses at roughly this size is a few hundred dollars. One winner at this ratio covers all of them and leaves change.

09 Fifteen ticks against two eleven

Later in the same session, the same structure appeared on the short side with the risk even smaller relative to the objective.



A short with the stop 15 ticks away, \$75, against a 211 tick objective worth \$1,055. The ratio printed on the box is 14.07 to 1.

A ratio like that is not the normal case and it should not be treated as one. It happens when the level is unusually precise, which is rare. Most of the session looked like the previous page rather than this one.

What both have in common is the order the decisions get made in. The stop location is decided by structure, before entry. The size is decided by the stop. The target is whatever the higher timeframe already owed. At no point is the ratio chosen first and the levels bent to fit it.

That ordering is what makes the win rate survivable. If the stop is placed to make a ratio look good rather than to mark where the idea is wrong, the trade gets stopped for reasons that have nothing to do with the read, and the losses stop being cheap.

You would have lost 75, but on this one you would have made 960.

FROM THE SESSION



10 The session checklist

One pass per session. The point of it is that nothing on this list is a judgement call made while a position is open.

BEFORE THE SESSION

- ☐ **Thesis written.** What price has done, what it is doing, and why. No direction stated.
- ☐ **Areas marked.** Where reactions are likely on both sides, not just the side you prefer.
- ☐ **Objective named.** The higher timeframe level that is actually owed something.
- ☐ **Failure named.** What would have to happen for the objective to be wrong.

BEFORE THE ENTRY

- ☐ **Price is at a marked area.** Not near one, and not a different one that looks similar.
- ☐ **Something is holding.** Aggression arriving and the level not giving way.
- ☐ **Stop location decided first.** Just past the level, where the reason for the trade is gone.
- ☐ **Ratio checked, not chosen.** The objective is where it is. If the ratio is poor, skip it.

IN THE TRADE

- ☐ **Move to break even when the reason weakens.** Not at a fixed number of ticks.
- ☐ **Trail behind protected levels.** Swings the market has already defended once.
- ☐ **Cut fast when wrong.** The loss being small is the entire reason the model works.

AFTER

- ☐ **Re-entry only if price returns to the level.** Otherwise the trade is finished.
- ☐ **Daily objective reached, stop.** Consistency rules apply even when the read is still good.



11 The rules underneath it

The trades on the previous pages only stay repeatable because of a few rules that have nothing to do with reading order flow.

One contract. Size goes up when the account buffer grows, not when confidence does. Two contracts only on the highest quality level, and only with a trailing plan attached.

A daily objective, then stop. Around \$500 on the account. Once it is reached the session is over, including on days when the read is still good and the market is still moving.

A maximum loss at half the objective. The bad day is capped smaller than the good day.

The winning day is keeping the account alive. What is the point of making money on a certain day if the next day you are going to blow it?

FROM THE SESSION

There is one more habit in this session that costs nothing. For the last stretch of the recording there are no trades at all, just the read being spoken out loud while the tape runs, so it can be played back later against what actually happened.

That is the part most people skip, and it is the part that builds the read that everything above depends on.





The statistics find the levels. Reading them live is **the craft.**

This session is one day in one regime. Nine trades is not a sample, a 44% win rate on a single session tells you nothing on its own, and the same model in a fast negative gamma market looks different to what you have just read. Take the structure of the decisions from it, not the numbers.

START THE 7 DAY TRIAL

whop.com/ethos-orderflow

Sessions like this one run live, and you can ask questions while the tape is moving.

[The recording and the rest of the free material, kanji.org.uk](https://kanji.org.uk)

Educational material only. Nothing here is financial advice, and nothing here is a promise of profit. Futures trading carries substantial risk of loss.

Sires × Ethos Order Flow / July 2026

